

SS13/13 - Market risk

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SS13/13 - Market risk

Supervisory Statement 13/13

First published on 19 December 2013

This supervisory statement sets out the Prudential Regulation Authority's (PRA's) expectations of firms in relation to market risk and should be considered in addition to requirements set out in CRD IV Articles 325-377, the market risk rules of the PRA Rulebook and the high-level expectations outlined in 'The PRA's approach to banking supervision'.

This statement details the PRA's expectations with regard to the following:

- * material deficiencies in risk capture by an institution's internal approach;
- * standardised approach for options;
- * netting a convertible with its underlying instrument;
- * offsetting derivative instruments;
- * exclusion of backtesting exceptions when determining multiplication factor addends;
- * derivation of notional positions for standardised approaches;
- * qualifying debt instruments;
- * expectations relating to internal models;
- * value-at-Risk (VaR) and stressed VaR (sVaR) calculation;
- * requirement to have an internal incremental risk charge (IRC) model; and
- * annual SIF attestation of market risk internal models.

Current version

Published on 26 November 2020. Effective from 26 November 2020.

- * Supervisory Statement 13/13 - November 2020 (pdf)

\- Following PS23/20 'Market risk: Calculation of risks not in value at risk, and stressed value at risk'

Future interim version

Published on 20 January 2026. Effective from 1 January 2027 to 31 December 2027.

- * Supervisory statement 13/13 - January 2026 (pdf)

** - following PS1/26 - Implementation of Basel 3.1: Final rules

Future version

Published on 20 January 2026. Effective from 1 January 2028.

* Supervisory statement 13/13 - January 2026 (pdf)

** - following PS1/26 - Implementation of Basel 3.1: Final rules

Past versions

* ### List of past versions

Near-final version published on 12 December 2023. Now superseded.

* Supervisory statement 13/13 - December 2023 (pdf)

Following PS17/23 - Implementation of the Basel 3.1 standards near-final part 1

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Published on 29 March 2018. Effective from 30 March 2018 (updated on 26 November 2020 by November 2020 version) [\(/prudential-regulation/publication/2023/december/implementation-of-the-basel-3-1-standards-near-final-policy-statement-part-1\)](#)

* Supervisory Statement 13/13 (pdf)

\- Following PS6/18 'Responses to CP18/17 Occasional Consultation Paper - Chapter 2 to 6, 9 and 10'

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Published on 23 February 2017. Effective from 23 February 2017 (updated on 30 March 2018 by March 2018 version)

* Supervisory Statement 13/13 (pdf)

\- Following PS4/17 'Responses to CP36/16 and correction to PS2/16 PIN rules'

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Published on 7 July 2016. Effective from 7 July 2016 (updated on 23 February 2017 by February 2017 version)

* Supervisory Statement 13/13 (pdf)

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Published on 27 October 2014. Effective from 27 October 2014 (updated on 7 July 2016 by July 2016 version)

* Supervisory Statement 13/13 (pdf)

\- Following PS10/14 'Responses to CP12/14'

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Published on 19 December 2013. Effective from 19 December 2013 (updated on 27 October 2014 by October 2014 version)

* Supervisory Statement 13/13 (pdf)

First publication of SS.

[Prudential Regulation // PRA Regulatory Digest 02 March 2026](#)

[Prudential Regulation // PRA statement 27 February 2026](#)

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